

CEO, CoverPanda Services. Delivery, margin, and the 11/10 standard.

Owner of the services company: the P&L, the delivery doctrine, the pricing, and the margin path that is the single biggest lever on everyone's equity value. The metric is net new services ARR plus the march from 45% to 65% gross margin. And the position holds three separate equity holdings, the widest exposure in the structure: the arm, the umbrella, and a path into the product company.

49%

of the accounting arm,
frozen: the largest
operator position in
the company

5% → 14%

of the services
umbrella: 5% at
signing, the rest
earned at company
gates

0% → 5%

of Rollup, back-
weighted, earned by
making services
originate product

\$80–100K

salary as previously
set · seed finance-
leader band ~\$135–
150K at the \$2.0M
gate

The 11/10 standard is the bar for everything, including future marketplace firms.

OWNS

- **The services P&L:** delivery, pricing, capacity
- **The 11/10 standard**, written down: the bar for our own delivery and for every firm that ever joins the marketplace
- **The 45% → 65% gross-margin path**, with elected growth-burn stated quarterly so investment reads as choice, not slippage
- **Capacity:** Brad and Zac run day-to-day
- **The CFO product-customer seat:** customer zero for the CFO stack; this feedback IS the product spec
- **Proposes distributions and profit-sharing first**, as the structure's CFO voice

DOES NOT OWN

- **Product roadmap** beyond the CFO/compliance lane. The build is Rollup's job; the arm operates
- **The sales pipeline.** Shideler's. Services owns the 50% close responsibility on brand-referred franchisees, not the sourcing

Under the band on purpose, with the gap written down.

LAYER	TERMS
Salary · \$80–100K	As previously set, below the seed finance-leader band (Kruze 2026: seed COO/ops ~\$135K; startup CFO bands run higher at scale). The gap between actual and market pay is recorded every quarter , so it is owed, not forgotten.
True-up	The delta versus a market services-CEO salary for the stretch carried is documented as a catch-up claim, triggered when services clears a defined margin or ARR threshold. The ceiling frustration answered in cash, without touching a point.
The \$2.0M gate	Hit the target and three things happen at once: the cash bonus pool pays, salary steps to the band (~\$135–150K), and the first umbrella rung vests. One number, three payouts.
Profit sharing + distributions	Pinned, deliberately, and this seat proposes the policy first: reinvestment rate, reserve floor, then pro-rata flow at each layer. Salary is an expense set by policy, never a pre-taken distribution: that discipline is what makes the 49% clean and defensible.

Three holdings: the arm you run, the umbrella your standard builds, the product company your lane feeds.

HOLDING	WHERE	TERMS
49%	Accounting arm	Frozen. The largest operator position in the company, and the explicit exception: future arm operators earn up to 25%, and above that takes unanimous founders.
5% → 14%	Services umbrella	5% starter at signing, one-year vest. Rungs at the company gates: +3% at \$2.0M · +4% at \$3M · +3% at \$6M blended collected ARR, ceiling 15% earned minus the 1 point that funds Kayden's stake = 14% . Personal keys: delivery runs a full quarter without this seat at ≥50% margin , then line 2 launched under this lead at ≥60% . The umbrella ladder IS the exposure to every arm we ever add.
0% → 5%	Rollup, back-weighted	0.5% internal-first complete · 0.5% portal live at the 11/10 standard with 10 paying accounts · 1.0% at \$500K collected product ARR from the CFO lane · 1.5% line 2 launched with its product layer live · 1.5% at \$2M collected product ARR from services-originated brands. The last 3% pays for scale, not effort.

Who funds whom, and the vesting standard

Kayden funds all three umbrella ladders through Rollup's earn-down from 100% to the 51% floor. Taylor, Jared and Shideler each trim one umbrella point to fund Kayden's direct stake. The Rollup pool, pre-funded by both founders, pays the 5% path. Every grant is an exchange, not a gift. Vesting on everything: milestone + 4-year time vest with credit for time served · 1-year cliff · double-trigger acceleration · missed quarters delay, never forfeit · vested is yours forever. Rollup's voting control never moves; its economic share steps down if it misses its quarterly obligations to Services.

The position fundraising barely touches.

SCENARIO	POSITION VALUE	WHAT HAS TO BE TRUE
The floor	~\$10M	\$6M of revenue, but the platform multiple never earned: services trades at services multiples
The thesis	~\$24M	Same revenue, margin at ~65%, product at half the mix, the blended 12–18× earned. The margin path this seat owns is exactly what moves the floor to the thesis, for everyone
The bar	~\$42–52M	Haven/Delightree pace applied to our base: ~\$19M by 2029

Illustrative, from the internal value bridge: layered arm → umbrella → Rollup waterfall, sum-checked. The structural point worth knowing: **fundraising scenarios barely move this column.** Product raises dilute the Rollup side only; the arm and the umbrella never dilute. The 49% and the 14% ladder are insulated from every round we ever raise.

Position problems get named at the month mark, not year-end.

Daily	Standup: Matt, Kayden, Taylor, Shideler, Jared
Friday	Metrics recap · services instrumented separately from product · next week's priorities · the raving-fan boards
Monthly · 90 min	The four leads: what's falling off, what changes
Quarterly	Tranche check: issued or missed · elected growth-burn stated · margin path reviewed · the salary gap recorded

The checkpoint philosophy cuts every direction: Rollup carries measurable quarterly obligations to Services, and its economic share steps down if it misses them. The gates are not one-way accountability, and nobody rides a dead structure.

Instruments, 83(b), 409A, and leaver terms ratify with counsel. · CoverPanda · confidential